

# Meridian & Associates LLP

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Tax Services Practice

## M&A Tax Due Diligence

Buy-Side and Sell-Side Engagement Methodology  
Identification of Tax Risks, Opportunities & Structural Considerations

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## 1. Executive Summary

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Meridian & Associates' M&A Tax Due Diligence practice provides comprehensive tax risk identification and quantification services for both buy-side and sell-side transactions. Our methodology is designed to enable acquirers, sellers, and their counsel to make informed decisions regarding transaction structure, purchase price, indemnification provisions, and post-close integration. In FY2025, the practice supported 320+ transactions ranging from \$25 million to \$14 billion in enterprise value, across sectors including technology, healthcare, financial services, energy, consumer products, and industrials. Our average engagement identifies \$8-15 million in contingent tax exposures per \$1 billion of enterprise value, along with \$3-7 million in structuring savings opportunities.

## 2. Buy-Side Due Diligence Approach

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### 2.1 Phase 1 -- Preliminary Tax Assessment

Upon engagement, the buy-side due diligence team conducts an initial review based on publicly available information and preliminary data provided by the target or its advisors. This phase typically occurs in parallel with the financial and legal due diligence workstreams and produces an Initial Tax Issues Memorandum within 5-7 business days. Key activities include:

- Review of the target's organizational chart and legal entity structure, including identification of foreign holding companies, IP holding entities, and pass-through structures.
- Analysis of publicly filed tax returns (10-K tax footnote, tax provision disclosures, effective rate reconciliation) to identify potential risk areas.
- Preliminary assessment of net operating loss (NOL) carryforwards, tax credit carryforwards, and other tax attributes, including their potential vulnerability to limitation under IRC Section 382.
- Identification of historical acquisitions, dispositions, and restructurings that may have created embedded tax issues (e.g., deferred intercompany gains under the consolidated return regulations).
- Industry-specific tax risk screening -- e.g., for technology targets: R&D credit substantiation, transfer pricing for IP-intensive operations, state nexus from SaaS sales; for healthcare targets: Section 501(c)(3) UBIT exposures, provider tax assessments, Medicaid rebate accruals.

### 2.2 Phase 2 -- Detailed Tax Diligence Review

Following execution of the letter of intent and access to the virtual data room, the team performs a comprehensive review organized around the following workstreams:

#### 2.2.1 Federal Income Tax Review

The federal income tax workstream includes a detailed review of the target's federal income tax returns for the most recent 3-5 years (or longer if returns for prior periods remain open under statute). Specific areas of focus include:

- Revenue recognition timing -- comparison of book and tax methods for long-term contracts (Section 460), installment sales (Section 453), and original issue discount (Section 1272).
- Deduction analysis -- review of Section 163(j) interest expense limitation calculations, Section 199A qualified business income deduction (for pass-throughs), Section 174 R&E capitalization and amortization (effective for tax years beginning after 2021), and depreciation methods (bonus depreciation phase-down schedule).
- Entity classification -- confirmation of entity-level check-the-box elections (Form 8832) for domestic and foreign subsidiaries, with analysis of implications of any election changes.
- Accounting method review -- identification of permissible vs. impermissible methods, automatic vs. non-automatic method changes (Forms 3115), and Section 481(a) adjustment computations.
- Consolidated return issues -- intercompany transactions, deferred gain/loss, excess loss accounts (ELAs) in subsidiary stock basis, SRLY limitations on loss and credit carryforwards.

## 2.2.2 State and Local Tax Review

The state and local tax (SALT) workstream is frequently the area of highest exposure in diligence, particularly for companies that have expanded geographically through organic growth or acquisition without updating their state tax compliance. Our SALT review includes:

- Nexus analysis -- physical presence, economic nexus (post-Wayfair thresholds), and factor presence standards across all 50 states and the District of Columbia.
- Income/franchise tax exposure quantification -- including analysis of apportionment methodology (market-based sourcing vs. cost-of-performance), combined/unitary filing requirements, and state-specific addback statutes (intercompany interest, management fees, intangible expenses).
- Sales and use tax compliance -- review of taxability determinations for the target's product/service mix, exemption certificate management, and reverse audit exposure.
- Property tax compliance -- real and personal property tax filings, valuation appeals status, and potential exposure from unreported personal property assets.
- Unclaimed property -- review of escheatment compliance for uncashed checks, outstanding credits, and dormant accounts.

## 2.2.3 International Tax Review

For targets with cross-border operations, the international tax workstream covers:

- Controlled Foreign Corporation (CFC) analysis -- Subpart F income, GILTI inclusions, previously taxed income (PTI) tracking, and Section 956 investment in US property.
- Transfer pricing review -- evaluation of intercompany pricing policies, documentation adequacy, and exposure to adjustment by foreign tax authorities (see M&A-TAX-TPF-002 for the firm's Transfer Pricing Advisory Framework and BEPS Action 13 documentation standards).
- Permanent establishment risk -- analysis of employee and agent activities in foreign jurisdictions that may create unregistered PEs under applicable tax treaties.
- Foreign tax credit analysis -- credit vs. deduction elections, foreign tax credit limitation computations, and carryforward/carryback positions.
- Treaty benefit analysis -- withholding tax rates applied to cross-border payments (dividends, interest, royalties), limitation on benefits (LOB) provisions, and potential treaty shopping exposure.

## 3. Net Operating Loss & Section 382 Analysis

A critical component of buy-side diligence for targets with accumulated NOLs is the Section 382 limitation analysis. Section 382 of the Internal Revenue Code limits the annual use of pre-change NOLs (and certain other tax attributes) following an 'ownership change' -- defined as a more than 50 percentage point increase in stock ownership by 5-percent shareholders over a 3-year testing period. Our analysis includes:

- Determination of the target's 'testing date' ownership shifts -- analysis of all equity issuances, redemptions, option exercises, and secondary market trading activity that may have triggered prior ownership changes.
- Computation of the Section 382 annual limitation amount -- the product of the target's equity value immediately before the ownership change (as adjusted for capital contributions and other modifications) and the applicable long-term tax-exempt rate published monthly by the IRS.
- Net unrealized built-in gain/loss (NUBIG/NUBIL) analysis -- determination of whether the target's assets have a net built-in gain or loss as of the testing date, which can increase or decrease the Section 382 limitation for the 5-year recognition period.
- Impact on NOL utilization modeling -- projection of post-change NOL absorption rates under the Section 382 limitation, with sensitivity analysis for variations in purchase price (affecting the limitation amount) and future taxable income projections.
- Section 383 analysis -- parallel limitation on pre-change tax credit carryforwards (R&D credits, AMT credits, foreign tax credits).

## 4. Purchase Price Allocation Tax Implications

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The structure of the acquisition (asset purchase vs. stock purchase, taxable vs. tax-free reorganization) has significant implications for the tax basis of acquired assets and the resulting deferred tax balance sheet. We advise on:

- Section 338(h)(10) and 336(e) elections -- converting a stock acquisition into a deemed asset acquisition for tax purposes, enabling a step-up in the tax basis of the target's assets. We model the tax cost of the deemed sale against the present value of future tax depreciation/amortization deductions.
- Section 1060 allocation -- allocation of the purchase price among seven asset classes (I through VII), with particular focus on the allocation between amortizable goodwill and going concern value (15-year Section 197 intangibles) and non-amortizable assets.
- Deferred tax impact -- computation of deferred tax liabilities arising from book-tax basis differences created by ASC 805 fair value adjustments, including the circular calculation where the DTL itself affects the amount of goodwill.
- Contingent consideration -- tax treatment of earnout and milestone payments, including the application of the installment method (Section 453) or open transaction doctrine, and the tax classification of payments (capital gain vs. ordinary income to the seller, purchase price vs. compensation to the buyer).

## 5. Tax Representations, Warranties & Indemnities

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Based on diligence findings, we prepare a Tax Issues Summary Memorandum that supports the negotiation of tax-specific representations, warranties, and indemnification provisions in the acquisition agreement. Key elements include:

- Specific tax representations -- recommended representations addressing identified exposures (e.g., that the target has not entered into any listed or reportable transactions, that all transfer pricing is at arm's length, that no nexus exists in non-filing states).
- Tax indemnification provisions -- recommendations on special tax indemnities for quantified exposures, including survival periods extending beyond the general indemnity basket (typically matching the applicable statute of limitations plus 60 days).
- Tax covenants -- recommended covenants restricting pre-close tax elections, amended returns, or settlement of tax audits without buyer consent.
- Purchase price adjustment mechanisms -- tax treatment of working capital adjustments, and provisions for allocation of tax refunds and credits related to pre-close periods.

## 6. Post-Close Integration Planning

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Our M&A Tax practice supports post-close integration through the following services, typically engaged as a separate workstream beginning 60-90 days before anticipated closing:

- Day 1 readiness -- ensuring all required entity formations, dissolutions, mergers, and conversions are completed by closing, with corresponding state and federal filings.
- Integration of tax compliance -- migration of the target's tax compliance to the acquirer's systems and processes, including alignment of tax accounting methods, fiscal year conformity, and consolidated return group inclusion.
- Restructuring planning -- design and implementation of post-close legal entity rationalization, including elimination of redundant holding structures, repatriation of offshore cash, and establishment of tax-efficient supply chain and IP ownership structures.
- Synergy tax modeling -- quantification of the tax impact of planned operational synergies (headcount reductions, facility consolidations, system integrations) on the combined entity's effective tax rate.
- Section 382 monitoring -- establishment of ongoing ownership change tracking protocols to prevent inadvertent limitation of the combined entity's tax attributes.